Scotiabank

Global FX Strategy

DAILY FX UPDATE

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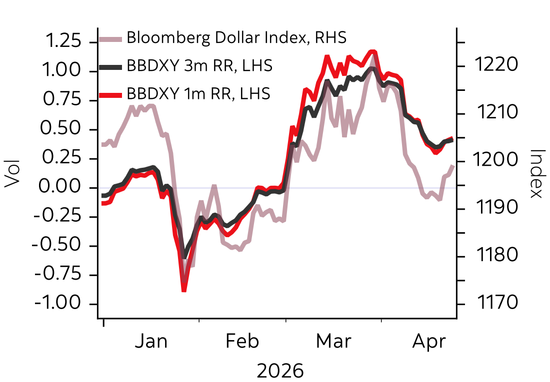
Overview

- USD nudges broadly higher as risk appetite softens on stalled peace talks.
- CAD holds little changed versus stronger USD.
- EUR soft while performing relatively well vs. G10; PMI's mixed (+ve mfg, -ve serv.).
- GBP remarkably steady & performing on crosses w/ dual surprise on PMI's.
- JPY soft in tandem w/ G10 but nearing technical support as MoF steps up verbal intervention; CPI at 7:30pm ET.
- AUD rolling over on broader risks, despite solid beat on PMI's.
- MXN also rolling over w/ near-term domestic risk in retail sales & CPI.

BBDXY Risk Reversals Steady



Source: Macrobond, Scotiabank FICC Strategy

USD Firmer as Iran Uncertainty Prevails

FX Market Update—Another day of chasing headlines lies ahead for markets. Uncertainty prevails over prospects for a peace agreement between the US and Iran. There is no sense that either side is any closer on compromising on key issues at this point and while the White House downplayed the idea that its truce would last 3-5 days, markets are trading a little more defensively as the weekend nears and progress looks stalled. The USD is extending gains this morning, with high beta FX underperforming (for the most part) as stocks and bonds slip. Crude prices are higher for a fourth day, with the Brent front-month contract well above $100/bbl and the 12m calendar spread stretching out to a very elevated $23/23, reflecting severe stress on prompt. The VIX is knocking on the door of the 20 level again, helping DXY gains extend above the 98.50 point where we had anticipated firmer resistance. Sentiment measures (risk reversals) reflect some improvement in the broader market mood regarding the dollar this week as the premium for dollar calls firms up again. DXY gains may push on towards the low/mid 99 area (to fill the early April "cease fire" gap) but moderate gains in the short run should give USD sellers better levels to engage as cyclical and structural negatives point to the risk of medium-term dollar weakness still in our opinion. US data reports this morning include weekly claims, the Chicago Fed National Activity Index, S&P Global PMIs and the KC Fed Manufacturing Index. Japan releases CPI and PPI data this evening.

USDCAD (1.3676) The CAD is easing marginally in early trade but has held little changed through most of the overnight session. The CAD's resistance to the USD's broader advance today leaves it as a relative outperformer among the major currencies. Domestic news and developments remain limited and the intraday trend in the CAD continues to depend primarily on the broader dollar tone and the risk backdrop. Stocks are down modestly this morning but the S&P 500 reached another record high yesterday and there is little sign of the bull mood weakening at this point. Canada releases IPPI data at 8.30ET.

USDCAD short-term technicals: Bearish—Spot is firmer for a third consecutive day but minor dollar gains are not impinging on the weak technical undertone for USDCAD at this point. The USD's advance reflects a minor consolidation from Tuesday's low on the short-term charts (potential bear flag or wedge pattern) and trend strength oscillators remain bearishly aligned for the USD across intraday, daily and weekly studies. We continue to look for limited USD gains and firm resistance in the low/mid-1.37 zone. Support remains 1.3625 ahead of a drop back to the low 1.35s.

EURUSD (1.1683) The EUR is soft, down slightly less than 0.2% vs. the USD while performing relatively well against most of the G10 currencies in an environment of renewed, broad-based USD strength. Geopolitical developments remain a dominant driver for FX, as market participants reassess the prospect of US/Iran negotiations, the state of the ceasefire, and an intensification of blockade enforcement in the Strait of Hormuz. The EUR's correlation to risk reversals remains elevated, running at 0.97 on a rolling 21-day basis, and the premium for protection against EUR weakness is once again widening. ECB rate expectations are firming and yield spreads remain supportive, however they are currently negatively correlated to the EUR. Finally, the release of the latest (preliminary) PMI's appears to have had no discernible impact on the EUR, with a mixed report offering a modest manufacturing surprise (in low expansion) alongside a deeper than expected contraction in services.

EURUSD short-term technicals: Neutral – the RSI has returned back to the neutral threshold at 50, revealing a meaningful pullback in momentum. The latest softness in the EUR has delivered a drift into the upper-1.16s, nearing important technical levels around 1.1650 including the 50 and 200 day MA's (1.1660 and 1.1676, respectively), and the 38.2% retracement of the Jan-March decline at 1.1667. We remain neutral above these key technical levels and look to a near-term range bound between 1.1650 and 1.1750.

GBPUSD (1.3491) The pound is soft, down a fractional 0.1% vs. the USD and relative performer against all of the G10 currencies with the exception of the CAD. Fundamental releases were mixed with slightly greater than expected public borrowing and weaker CBI sentiment however the markets appear to be celebrating the better than expected preliminary PMI's with both manufacturing and services printing above expectations around the 50 threshold to levels indicating modest expansion. The data have delivered a meaningful boost to BoE rate expectations, with markets currently pricing 20bpts for June and a cumulative 50bpts by September – but no chance of a hike next Thursday.

GBPUSD short-term technicals: Bullish/neutral – the RSI remains in the mid-50s, offering modestly bullish momentum despite a modest fade from recent peaks in the low 60s. The 1.35 level appears to be offering important near-term congestion, around the midpoint of the range from January. We look to a near-term range bound between 1.3450 and 1.3550.

USDJPY (159.73) The yen is soft, down 0.2% vs. the USD and a mid-performer among the G10 currencies in an environment of broad-based USD strength. The yen is fading back to the lower end of its local range, with USDJPY back above the 159.50 level that prompted recent verbal interventions from the Ministry of Finance and price checking activity back in late January. Comments from Finance Minister Katayama are once again hitting the newswires, with a focus on close US/Japan cooperation 'on forex' with forceful messaging on intervention. Near-term fundamental risk is elevated into the 7:30pm ET release of CPI, the last major data release ahead of next week's BoJ (expected hold). USDJPY technicals are modestly bullish and we remain tightly focused on the psychologically important 160 level.

TODAY'S CALENDAR

Time (ET)	Country	Release	Period	Consensus	Last
8:00	MX	Retail Sales YoY	Feb	4.5%	5.0%
8:00	MX	Bi-Weekly CPI	15-Apr	0.08%	0.14%
8:30	US	Chicago Fed Nat Activity Index	Mar	-0.13	-0.11
8:30	CA	Industrial Product Price MoM	Mar	1.9%	0.4%
8:30	US	Initial Jobless Claims	18-Apr	210k	207k
8:30	US	Continuing Claims	11-Apr	1816k	1818k
9:45	US	S&P Global US Manufacturing PMI	Apr P	52.5	52.3
9:45	US	S&P Global US Services PMI	Apr P	50.5	49.8
9:45	US	S&P Global US Composite PMI	Apr P	50.6	50.3
11:00	US	Kansas City Fed Manf. Activity	Apr	10	11
11:00	EC	ECB's Nagel Speaks in Frankfurt			
19:01	UK	GfK Consumer Confidence	Apr	-25	-21
19:30	JN	Natl CPI YoY	Mar	1.4%	1.3%
19:30	JN	Natl CPI Ex Fresh Food YoY	Mar	1.7%	1.6%
19:50	JN	PPI Services YoY	Mar	3.0%	2.7%